IT TAKES TWO TO TANGO

It is December 2020 and you are the business head of the Cleaning business at Urban Company. Even after delivering 1.2L bathroom cleaning jobs in November which was 2X from last year, you and the team are not happy because the gross NPS was only 25%.

One thing which is very clear to you in the bathroom cleaning business is that the only way this category would compound - i.e. increase repeat rates - is when the NPS of the category is above 50%. The current repeat rate (i.e. % consumers who have tried the service before in the last 12 months, taking the service again in that month) hovers around 5-6% every month).

Also, this is a seasonal category which means during the Diwali month it sees significant growth and a lot of new first-time customers due to the marketing campaigns. In November, this category saw at least 50% growth compared to the monthly average of Q3 but you see that NPS fell from 35% to 25% (Refer to exhibit 1 which states the deliveries growth and NPS).

You have spoken to a lot of consumers, read the detractor comments and come up with a few key observations (Refer to exhibit 2)

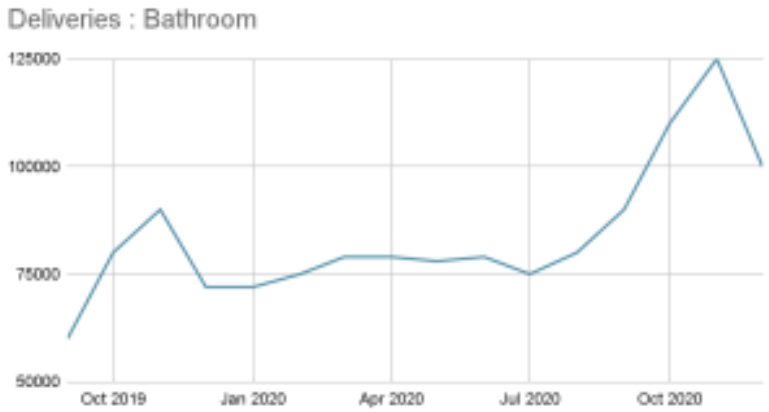
You have also seen the supply data and spoken to the partners/professionals to understand their worries and why they are not able to deliver the desired outcome (Refer to exhibit 3)

Now, put yourself in the shoes of the Business Head at UC and in your teams try to come up with solutions and initiatives which you should plan to carry out to improve the service experience drastically.

Think holistically while looking at the problem statement. You need to answer 2 questions:

1. What are the key issues for why the GNPS is low for the category?
2. What are the 3 most needle-moving recommendations? How will you operationalize it?

Exhibit 1





Observations:

- Deliveries increase during Diwali period which leads to an increase in the overall user base and hence leads to increased deliveries for the remaining year
- As deliveries increase GNPS falls down significantly.

Exhibit 2

Qualitative feedback from the customers :

1. “Your professional didn’t clean the bathroom fully, looked in a hurry and left exhaust and hard-to-reach areas as is. Disappointed”
2. “Previously I had a good experience but this time you sent an untrained partner. The bathroom is same as before”
3. “My bathroom stains haven’t gone, what is the point of giving money when the bathroom has to remain the same. My maid does a better job”
4. “There is a pungent smell of acid in my bathroom, not sure how you call these guys professional”

5. “Professional didn’t even spend 30 mins on my bathroom, how do you expect to get a good result”
6. “No professional chemicals or tools and you show clean bathroom in your ads, will never book”
7. “My maid does a better job”
8. “My bathroom has water all over, they didn't dry”
9. “Your professional broke my tap due to something they used, it's leaking now”

Your observations when talking to customers:

1. Customers need to see a before-after difference
2. Customers want their stains to be removed, which maids can’t do
3. Customers want the full bathroom to be cleaned, nothing to be left
4. This is not a maid replacement job but an additional expense
5. The bathroom should be in a usable condition after cleaning

Exhibit 3

Qualitative feedback from partners :

1. “You removed me because my rating was low, my first few jobs I was just figuring out what to do”
2. “Customer didn’t talk properly, I left the job in between”
3. “Season is the time to earn can’t spend the entire day only on 1 customer”
4. “By the time I understood how to clean, 15 jobs had already gone. Couldn't follow the training and after that I couldn't get a rating above 4.5 even after 50 jobs”
5. “I left the job because this is a tiring job and also the pay is not good and don’t want to work with acid ”
6. “Some bathrooms are not very dirty but some are so dirty even if we continue to scrub for 1 hour stains won’t go”
7. “500 per bathroom is too low you should increase prices because it can take a lot of time to clean the bathroom”

Data Points:

1. The average monthly earning for partners is INR 18,000 and the average order value is INR 900.

2. UC currently offers 1 SKU in bathroom cleaning which is priced at INR 500 (for 1 bathroom), INR 900 (for 2 bathrooms), and INR 1300 (for 3 bathrooms). On this UC takes a 20% commission from partners and the remaining goes to the partner.

3. The average monthly churn is 5% i.e. after 1 year 60% of the supply base is gone.

4. On an average, a partner spends 1 hour cleaning 1 bathroom.

5. Customer NPS from partners who have spent more than 12 months on the platform is 50%+.

6. Customer NPS from partners who have spent less than 3 months is <20%.

7. Partners undergo 2 days of training currently before they are made live.
   Day 1: Grooming and UC working style, economics, app usage
   Day 2: Practicing bathroom cleaning

A. As part of the onboarding kit UC gives: gloves, masks, t-shirts, scrubbers, wipers, and microfiber cloth to the partners.

B. All partners who complete the training start getting jobs after they are made live on the platform

C. If after 50 jobs the partner rating goes below 4.5 they are removed from the system

D. Typically the supply pool which comes to UC is anyone who is interested in joining (cleaners in offices, delivery guys, new to market for job etc.) mostly after referrals from other partners or when UC does online and offline activity for reachouts.